Patagonia Case — Reading Material

Case: Patagonia — A Business That Sells the Environment

Patagonia, Inc. sells outdoor clothing and gear at prices far above the industry average — a fleece jacket that costs ¥1,500 at a discount retailer costs ¥3,500 at a Patagonia store. Most businesses could not survive on that premium. Patagonia has built a company where the price, the environmental mission and the growth story all sit on top of each other.

Founded — 1973 (as Chouinard Equipment) by Yvon Chouinard, a rock climber and blacksmith
Origin — Hand-forged climbing gear made in his garage and sold to fellow climbers; the business grew out of his own need as a climber
Brand promise — “Tested and Trustworthy”; the 2011 “Don’t Buy This Jacket” ad told customers the best jacket was the one they already owned
Scale — ≈ US$1.5 billion revenue, ~4,000 employees, sold in 60+ countries and its own stores
Legal form — A **corporation** and a Certified B Corporation
Ownership (2022→) — The Chouinard family transferred its voting and non-voting stock to the **Patagonia Purpose Trust** and **Holdfast Collective** (a nonprofit). Shareholders receive **no dividends**; profits are reinvested and the dividends from the non-voting stock fund climate action. Voting control passes to the Purpose Trust in 2027
Purpose statement (2018) — “We’re in business to save our home planet” / “Earth is now our only shareholder”
Environment — Since 2002, 1% of sales (or 10% of pretax profit) pledged to environmental groups; **Worn Wear** repair-and-resale; ~60% recycled materials
Supply chain — Manufacturing outsourced to ~40 contract factories (mostly China and Vietnam); Fair Trade–certified sewing; “Footprint Chronicles” publishes factory-level data
2020 COVID crisis — Stores closed, revenue collapsed, 125 employees laid off without severance, then the **One Employee Fund** was created after public backlash

Key dates: 1957 Chouinard forges climbing gear in his garage · 1973 renamed Patagonia, Inc. · 2002 “1% for the Planet” · 2011 “Don’t Buy This Jacket” · 2018 purpose statement · 2020 layoffs, then the One Employee Fund · 2022 ownership transfer